

optimize its return on assets. These actions translated, immediately, into increasing profit margins.

Tenet: High Profit Margins

In 1980, Coca-Cola's pretax profit margins were a low 12.9 percent. Margins had been falling for five straight years and were substantially below the company's 1973 margins of 18 percent. In Goizueta's first year, pretax margins rose to 13.7 percent; by 1988, when Buffett bought his Coca-Cola shares, margins had climbed to a record 19 percent.

Tenet: Return on Equity

In "Strategy for the 1980s," Goizueta pointed out that the company would divest any business that no longer generated acceptable returns on equity. Any new business venture must have sufficient real growth potential to justify an investment. Coca-Cola was no longer interested in battling for share in a stagnant market. "Increasing earnings per share and effecting increased return on equity are still the name of the game," Goizueta announced.²⁸ His words were followed by actions: Coca-Cola's wine business was sold to Seagram's in 1983.

Although the company had earned a respectable 20 percent on equity during the 1970s, Goizueta was not impressed. He demanded better returns, and the company obliged. By 1988, Coca-Cola's return on equity had increased to 31 percent.

By any measurement, Goizueta's Coca-Cola was doubling and tripling the financial accomplishments of Austin's Coca-Cola. The results could be seen in the market value of the company. In 1980, that value was \$4.1 billion. By the end of 1987, even after the stock market crash in October, market value had risen to \$14.1 billion. In just seven years, Coca-Cola's market value increased at an average annual rate of 19.3 percent. For every dollar Coca-Cola retained during this period, it gained \$4.66 in market value.

Tenet: Candor